

NextEra Energy, Inc.

NEE NYSE

Buy **\$88.78 ▲ 1.53%** 12M Price Target **\$105.00** 52-Week Range **\$69.24 – \$98.75** Market Cap **\$185.15B**

NEE: AI Data Center Power Demand Meets Dividend Reliability

WHAT HAPPENED

- NEE up 1.5% today to \$88.78, riding a broad utility rally (+1.79% sector-wide) — this is the "AI data centers need INSANE amounts of power" trade playing out. 24/7 Wall St. literally called it a "1970s-scale power buildout" this morning, and NEE is the biggest pure-play beneficiary because they're the largest renewable developer in the country.
- Volume is unusually LIGHT today (2.2M vs typical 10-15M) — that tells me this isn't panic buying or a news-driven spike, it's just steady institutional accumulation on a slow summer day. Less conviction signal, more grind-higher tape.

WHY IT MATTERS

Here's the real story: hyperscalers (Amazon, Microsoft, Google, Meta) are signing long-duration power purchase agreements — meaning multi-decade contracts to buy electricity — because AI data centers use 5-10x the power of regular ones. NEE has the biggest renewable development pipeline in America, so they're basically the landlord for the AI boom's electricity needs. BUT — and this is critical — the put/call ratio is 2.15 (way more bearish bets than bullish ones), with someone loading up on \$93 puts expiring this month. That suggests smart money is hedging near-term downside even as the long-term story is intact — probably worried about the Trump admin's stance on renewable subsidies in the upcoming budget cycle.

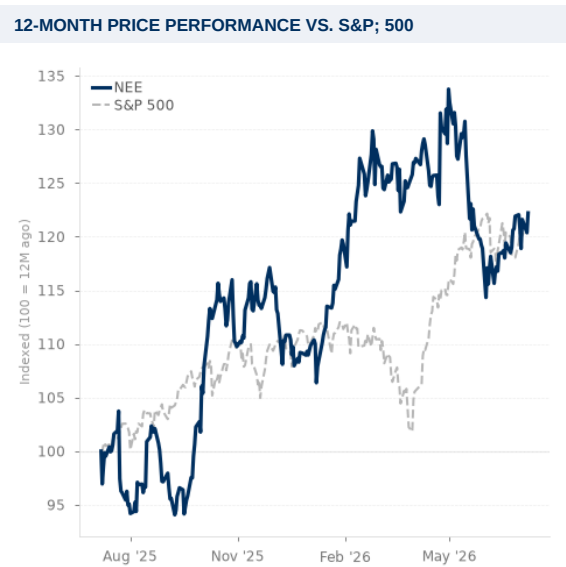
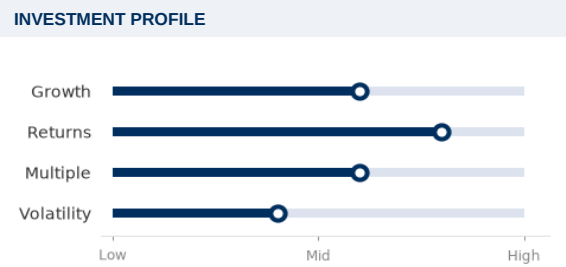
POLICY & POLITICAL WATCH

The elephant in the room: the Inflation Reduction Act's renewable tax credits (specifically the Production Tax Credit and Investment Tax Credit) are under active attack in Congress — the Trump admin has been chipping away at them through Treasury guidance and executive orders since 2025. If these credits get fully repealed or phased out faster, NEE's return-on-investment math on new wind/solar projects gets uglier fast. Counterweight: the AI power crisis is so severe that even Republican lawmakers in data-center-heavy states (Texas, Virginia, Georgia) are quietly protecting renewables because gas plants take 4+ years to build and can't meet demand. Watch the FY2027 budget reconciliation talks this fall — that's the next big pivot point.

IS IT EXPENSIVE?

At \$88.78, NEE trades at roughly 23x forward earnings — meaning you're paying \$23 for every \$1 of profit expected next year. That's a premium to boring regulated utilities (typically 16-18x) but a discount to pure AI infrastructure names. The premium is justified IF you believe the AI power thesis; it's expensive if you think renewable credits die and growth slows to typical utility 5-7% rates.

Key Data	
Price (USD)	\$88.78
12M Price Target	\$105.00
Upside / (Downside)	+18.3%
Market Cap	\$185.15B
FY2026E Revenue	\$27,800M
FY2027E Revenue	\$30,200M
FY2026E EPS	\$3.75
FY2027E EPS	\$4.10
Fwd P/E	23.7x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$94.00	\$90.00	\$84.00
6 Months	\$102.00	\$94.00	\$80.00
1 Year	\$115.00	\$105.00	\$78.00
2 Years	\$135.00	\$118.00	\$72.00
5 Years	\$180.00	\$145.00	\$65.00
10 Years	\$250.00	\$190.00	\$60.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities and Energy both ripping today (+1.79% and +2.04%) — this is the "power scarcity" trade. AI needs electrons and nobody can build fast enough. Healthcare also strong on defensive rotation.

COOLING OFF: Nothing screaming weakness today, but Communications Services' 5-day strength (+3.40%) is slowing — mega-cap tech may be consolidating after a run.

ROTATION WATCH: Money is rotating INTO real assets (utilities, energy, real estate all green) and OUT of pure growth. This is classic late-cycle behavior plus the AI-power narrative converging.

RELATED PLAY: If NEE's thesis works, the picks-and-shovels plays are grid equipment makers (GEV — GE Vernova, ETN — Eaton) and independent power producers (VST, CEG). Constellation Energy (CEG) is the pure-play nuclear version of this same trade.

WHO'S WINNING IN THIS SPACE?

- CEG (Constellation Energy): Nuclear baseload power is the ultimate AI data center match — running hot on every hyperscaler deal
- VST (Vistra): Texas power producer with massive AI data center demand exposure, one of 2025-26's biggest utility winners

NEE CONTEXT: NEE is actually LAGGING the pure-play IPPs (independent power producers) because it's half-regulated utility (slower growth, but safer). It's the "sleep at night" way to play this theme — you get 60% of the upside with 30% of the volatility, plus a ~3% dividend that grows every year.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Strong long-term setup, but near-term policy uncertainty and elevated put buying suggests patience over aggression.

POSITION SIZE: 3-5% of portfolio — this is a core holding for income+growth, not a swing-for-the-fences bet. The regulated utility base means you're not going to lose 50% in a quarter.

ENTRY POINTS: Add on pullbacks to \$84-87. If we get a broader market flush and this touches \$80, back up the truck — that's a fat pitch.

TIME HORIZON: 12-24 months. Catalyst you're waiting for: clarity on tax credits in the fall 2026 budget fight, plus continued hyperscaler PPA announcements.

WHEN TO BAIL: If renewable tax credits get fully repealed with no replacement, or if FPL loses a Florida rate case (their regulator has been friendly, but that could change), reassess. Also bail if the dividend growth rate drops below 8%.

HEDGING: Simple version — own some natural gas exposure (a gas producer ETF like FCG) alongside this. If renewables get politically hammered, gas benefits. It's a natural offset without needing to touch options.